groups. When a middle-income country seeks to rise to a mature market economy, and institutional capacity is weak, growth stalls.

Long years ago, we made a tryst with destiny, and we must find our way out of these dark woods. The most important question in Indian economics and policymaking today is that of diagnosing and addressing the sources of underperformance that have arisen from 2011 onward. A phenomenon of this size cannot just come about owing to some events. There is a need for a conceptual framework, in understanding what happened, and then in changing it.

This book constitutes our attempt in this direction, to finding the Mark 3 framework. In this, we build on the work of Abhijit Banerjee, Avinash Dixit, Bibek Debroy, Devesh Kapur, Esther Duflo, Jeff Hammer, Kaushik Basu, Lant Pritchett, Nandan Nilekani, Pratap Bhanu Mehta and others.

Our key idea is that a lot of government intervention, and the licence-permit-inspector raj, remains in place. The early dawn of economic freedom, that was promised in 1991, has not evolved into a mature market economy. Private persons are beset with government intervention. The instincts of central planning are alive and well among policymakers. There is a great deal of arbitrary power in the hands of government. Extensive interference in the economy by the government, the policy risk associated with future interventions, and the fear of how arbitrary power in the hands of the government will be used have led to a loss of confidence in the private sector.

When India was a small economy, the GDP was small, and the gains from violating rules were relatively small. The tenfold growth in the size of the economy created new opportunities to obtain wealth. The gains from violating rules went up sharply. Large resources were brought to bear upon subverting state institutions. The foundations of state institutions, in terms of the rule of law and checks and balances were always weak. This combination of an amplified effort by private persons to subvert institutions, coupled with low state capacity, has resulted in a decline of institutional quality.